



The Angel Tax Conundrum

Changes introduced to these provisions, especially their extension to non-resident investors, could adversely affect funding flow to start-ups

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INDIA IS THE THIRD largest start-up ecosystem in the world with more than 90,000 such firms, and over 100 unicorns. To “build a strong ecosystem for nurturing innovation and [start-ups]”, the Indian government launched the Startup India programme in 2016, and one would have expected that regulatory provisions would be fully aligned with that aim. On the contrary, the start-up ecosystem has been caught in the cross hairs of a tax provision, ‘angel tax’ in popular parlance, which has turned

into its Achilles heel. In fact, a new twist introduced recently may end up increasing the pain, in what is a classic case of a provision being brought in to curb the mischief of some that ends up hurting the industry.

Introduced in 2012, angel tax seeks to curb the generation and circulation of unaccounted money disguised as excess share premium. Simply put, the law states that a company will be taxed for any consideration it receives for issuing shares in excess of the fair market value (FMV). This particularly impacts start-ups raising funds from non-qualified or non-institutional investors, and hence the name angel tax.

This has become a dreaded provision, epitomised by thousands of litigations and tax demands running into hundreds of crores. Indeed, the pain has been so severe that not a year has gone by when the industry has not sought its abolition. But contrary to expectations, the *Amrit Kaal* Union Budget of 2023 widened the scope of this tax: When introduced, it covered only investments made by resident investors; it now covers investments made by non-residents too.

One major concern pertains to valuation. Income tax rules prescribe two methods of arriving at the valuation of a company’s unlisted shares: one, net asset value (NAV) per share, or two, the discounted cash flow (DCF) determined by a merchant banker, which estimates valuation using a company’s expected future cash flows. For start-ups, valuation is usually a function of their growth perception and, at times, can be driven by